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Request for Information (RFI)
Economic Price Adjustment Research for
DLA Strategic Material Requirements

DLA Strategic Materials (DLA-SM) is the leading U.S. agency for the analysis, planning, procurement, and management of materials critical to national security. Its mission is to decrease and preclude dependence upon foreign sources or single points of failure for strategic materials in times of national emergency. DLA DCSO-F provides contracting support to DLA-SM.

Over the next several years DLA-SM will possibly be purchasing (but not limited to) NDPr Oxide, Titanium, Iso-Molded Graphite, Grain Oriented Electric Steel (Grain Oriented Steel), Tire Cord Steel, Cadmium Zinc Telluride, Zirconium Oxichloride, Samarium-Cobalt Alloy, Tantalum, Ferroniobium, HP Aluminum, Magnesium, Antimony, Bismuth, Flourspar Acid-Grade, Gadoliunium, Rubber (Natural).

Given the economic uncertainty in the specialty metals markets and inflation concerns, DLA DCSO-F is considering using the Federal Acquisition Regulation (FAR) for an Economic Price Adjustment (EPA) for future material acquisitions. To help us determine the best approach we are seeking Industry feedback.

Please reference the following website for FAR: www.acquisition.gov

1. If DCSO-F, started applying the use of an EPA FAR clause to their contracts, would it be beneficial to you, compared to the typical use of a firm-fixed price model? The new Contract type would be a Firm Fixed Price with Economic Adjustment, (FFP-EPA), per FAR 16.203.

   (Per FAR 16.202-1 "A firm-fixed-price contract provides for a price that is not subject to any adjustment on the basis of the contractor's cost experience in performing the contract. This contract type places upon the contractor maximum risk and full responsibility for all costs and resulting profit or loss. It provides maximum incentive for the contractor to control costs and perform effectively and imposes a minimum administrative burden upon the contracting parties.")?

2. Would there be any concerns using the standard FAR Clause 52.216-2 Economic Price Adjustment-Standard Supplies or 52.216-3 Economic Price Adjustment-Semistandard Supplies for an EPA?

3. Would the draft proposed agency specific EPA Clause be a better alternative to the FAR EPA clauses? Why or why not?

   FAR 52.216-2 vs. DFARS 252.216 Reserved vs DCSO-F agency specific EPA Clause.

4. How does your company price the materials? On what frequency is pricing updated (i.e. monthly, quarterly…)?

5. What indexes do you use for the various materials?

6. Should DCSO-F consider escalating anything besides the material such as transportation? If so, what index would you recommend using?

7. Is there any other information DLA should be aware of with the use of an EPA?

ECONOMIC PRICE ADJUSTMENT (STRATEGIC MATERIALS)

(a) **WARRANTIES.** The Contractor warrants that
(1) The unit prices identified in the Schedule do not include allowances for any portion of the contingency covered by this clause. Unit prices are the net prices after applying any applicable standard trade discounts offered by the Contractor from its catalog, list, or schedule prices. Unit prices exclude any part of the price which reflects requirements for preservation, packaging, and packing beyond standard commercial practice.
(2) The prices to be invoiced hereunder for listed items shall be computed in accordance with the terms of this clause.
(b) **DEFINITIONS.** As used throughout this contract text, the term--
(1) **Base unit price** means the unit price set forth opposite the item in the Schedule.
(2) **Reference price** means the market price indicator set forth in the Table in (f) below with which the base unit price is to fluctuate. **NOTE: The term market price indicator will be referred to hereafter as "reference price" in this contract text.**
(c) **ADJUSTMENTS.**
(1) The Contractor shall give written notice to the Contracting Officer of any delivery and associated change in the reference price within 15 working days from the date thereof. Contractor failure to timely notify the Contracting Officer of any delivery and associated change in the reference price may result in late or incorrect payment of the relevant invoice.
(2) Subject to the conditions of this clause, the prices payable under this contract shall be the base unit price increased or decreased by the same number of cents, or fraction thereof, that the reference price shall have increased or decreased.
(3) The increase or decrease in the agreed upon published reference price shall apply only to deliveries made on and after the effective date of the price change as stated in the publication.
(4) The Contracting Officer shall issue a contract modification to reflect any changes pursuant to this clause. However, no increase in a contract unit price shall be executed pursuant to this clause until the increase in the applicable published reference price has been verified by the Contracting Officer.
(5) **FAILURE TO DELIVER**. Notwithstanding any other conditions of this contract text, no upward adjustment shall apply to product scheduled under the contract to be delivered before the effective date of the adjustment, unless the Contractor's failure to deliver according to the delivery schedule results from causes beyond the Contractor's control and without its fault or negligence, within the meaning of paragraphs (f), Excusable Delays, and (m), Termination for Cause, of the CONTRACT TERMS AND CONDITIONS – COMMERCIAL ITEMS clause of this contract, in which case the contract shall be amended to make an equitable extension of the delivery schedule.
(6) **UPWARD CEILING ON ECONOMIC PRICE ADJUSTMENT**. The Contractor agrees that the total increase in any contract unit price pursuant to these economic price adjustment contract texts shall not exceed percent of the award price.

(7) **REVISION OF REFERENCE PRICE INDICATOR**. In the event--

(i) Any applicable reference price is discontinued or its method of derivation is altered substantially; or
(ii) The Contracting Officer determines that the reference price consistently and substantially failed to reflect market conditions--
the parties shall mutually agree upon an appropriate and comparable substitute for determining the price adjustments hereunder. The contract shall be modified to reflect such substitute effective on the date the indicator was discontinued, altered, or began to consistently and substantially fail to reflect market conditions. If the parties fail to agree on an appropriate substitute, the matter shall be resolved in accordance with paragraph (d), Disputes, of the CONTRACT TERMS AND CONDITIONS – COMMERCIAL ITEMS clause of this contract.

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(d) **EXAMINATION OF RECORDS**. The Contractor agrees that the Contracting Officer or designated representatives shall have the right to examine the Contractor's books, records, documents, or other data the Contracting Officer deems necessary to verify Contractor adherence to the conditions of this contract text.

(e) **FINAL INVOICE**. The Contractor shall include a statement on the final invoice that the amounts invoiced hereunder have applied all decreases required by this contract text.

(f) **TABLE.**

Item No. (Listed Items)	NAME OF PUBLICATION	HEADING UNDER WHICH REFERENCE PRICE IS PUBLISHED AND NAME OF PRODUCT	LOCATION WHERE REFERENCE PRICE IS APPLICABLE	REFERENCE PRICE AS OF OCTOBER 06, 2021 (EXCLUDES ALL TAXES)	ID

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